

PSUs PROPEL TO PROFITS

PUBLIC SECTOR UNDERTAKINGS (PSUs), ONCE CONSIDERED WHITE ELEPHANTS, HAVE MANAGED TO STAGE A SMART TURNAROUND IN RECENT YEARS WITH INITIATIVES AND REFORM MEASURES TAKEN BY THE GOVERNMENT BEARING FRUIT

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ILLUSTRATION BY **NILANJAN DAS**

WHITE ELEPHANTS TO ROARING TIGERS

▶ The government's focus on infrastructure and manufacturing and the banking sector's reforms boosted PSU performance significantly, reducing the NPAs of these firms

▶ Indian stock markets also acknowledged the impressive turnaround of these firms; PSU stocks outperformed market indices last year, with the BSE PSU index rallying 96%

▶ The profitability of these state-owned companies surged, leading to higher taxes and dividends for the central government since 2019-20

▶ Rising capex and government support are expected to sustain PSU growth. The government now focusses on PSU value creation, professionalisation, and shareholder-aligned metrics

▶ Investors, on the other hand, are concerned about the high valuations of these state-run companies, and the potential economic and political challenges in the future